

INDIAN PCB INDUSTRY: Opportunities And Challenges



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Printed circuit boards (PCBs) are deployed in almost all electronic products, ranging from consumer gadgets such as PCs, tablets, smartphones and gaming consoles to industrial and high-tech products in strategic and medical electronics domains.

Considering the importance of the PCB industry in the electronics manufacturing ecosystem and the evolution of the electronics industry's ecosystem over the last one year with respect to implementation of government policies, investment climate, government duties and consumer demand, we decided to take a comprehensive look at the Indian PCB industry to understand how the industry has been shaping up.

How will the Indian PCB industry grow? What will drive its growth, and what will hinder it? While trying to figure out answers to such questions, we got some insights from Electronic Industries Association of India (ELCINA) and leading veterans in the Indian PCB industry. Here is a collation of the same.

Market at a glance

The Indian electronics market is one of the fastest growing in the world and is anti-

Methodology

Representatives from seven companies made themselves available for this survey. It has to be noted that this sample is a microcosm of India's PCB sector. Survey participants were asked standard questions regarding the following aspects:

1. Overall growth expected from the PCB industry in FY 2017-18
2. Expected growth percentage
3. Major demand-generating sectors
4. Demand/supply gap in the Indian PCB industry
5. Challenges faced by PCB manufacturers in India
6. Possibilities of inorganic growth through mergers and acquisitions

Responses obtained from the interviews were then collated and analysed, before the results were presented in this report.

pated to reach US\$ 400 billion in 2022, with domestic manufacturing climbing to over US\$ 100 billion. This will create immense scope for the PCB market.

According to an ELCINA study, domestic market demand for PCBs will grow at a CAGR of 20.56 per cent over the period 2015-20, and will reach over US\$ 6 billion by 2020 from the current level of US\$ 2.38 billion (Table I).

Currently, only 35 per cent of this demand is met by local manufacturers. And for the remaining 65 per cent, India is still dependent on imports. Current demand of US\$ 2.38 billion represents the demand for all types of PCBs, and includes both bare-board and populated PCBs. Current market size for bare-board PCBs is US\$ 1.2 billion, and only 30 per cent of this demand is being met by local PCB manufacturers. The remaining 70 per cent of the PCBs are imported.

The Indian market is slightly different from the rest of the globe. Globally, the market for flexible circuits is expected to grow much faster than that for rigid PCBs, since the former can facilitate form factor reduction and eliminate connectors.

TABLE I
ESTIMATED DEMAND IN THE INDIAN PCB MARKET
(US\$ MILLION)

	CAGR 2015-2020	2015-16	2016-17	2017-18	2018-19	2019-20
Automotive	34.82%	110	140	240	340	490
Mobile phones	23.58%*	*	310	408	612	723
Strategic	21.64%	214	257	310	422	570
Industrial	17.99%	404	467	617	808	924
Telecom	16.34%	221	264	272	382	471
Consumer electronics	16.15%	790	950	1140	1380	1670
LED lighting	16.00%	400	470	570	690	840
Computer hardware	10.93%	250	280	310	360	420
Total	20.65%	2389	3138	3867	4994	6108

(Source: ELCINA)